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NetApp's five suppliers

Six filed years and their own words, one supplier at a time — and the five places where what NetApp has said it wants and what its suppliers have said they will offer do not agree.

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Micron, SK Hynix, Samsung Electronics, Kioxia and Seagate. Evidence to 6 November 2026. Every figure traces to a filed document and every quote to a named quarter. Built from public filings. First-pass analysis to support your own review — not legal, investment or professional advice.

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Micron · SK Hynix · Samsung Electronics · Kioxia · Seagate | evidence to 6 November 2026

01 What this is

This is a picture of the five companies NetApp buys memory and drives from. Each of them files public accounts and holds public earnings calls, and this report reads six years of those accounts and their management's own statements from the buyer's side of the table.

It is not a report about how NetApp is performing — that is already in NetApp's own filing and NetApp already knows it. What its filing does carry is NetApp's **stated strategy and capital position**, and section 02 quotes those so that section 05 can test the supplier picture against what NetApp has said it wants rather than against anything we assumed.

Four figures set the stakes:

$1.4bn Committed to suppliers off balance sheet at 24 Apr 2026, $1.1bn of it due in FY2027	**4 days** Purchased components held, against about $1.27bn of annual materials
86–136 Days of inventory the five suppliers were holding in their latest filed year	**5 of 5** Suppliers that have moved supply onto binding, multi-year, part-prepaid allocation

NetApp figures from its Form 10-K for the year ended 24 April 2026, filed 5 June 2026. Days of purchased components is our arithmetic: $14m of components inventory against materials cost of about $1.27bn, being the 91% of the $1,395m cost of Hybrid Cloud product revenues that NetApp attributes to materials. Supplier figures are from section 03.

The stock in this chain sits upstream and the commitments sit downstream. That is a defensible way to run a balance sheet, and it also means the five companies in section 03 are the ones whose position decides what a renewal costs.

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What this report will not do

- **It does not forecast a price.** Nothing here predicts DRAM, NAND or drive pricing for a future quarter.
- **It gives no single score.** There is no blended supplier rating, because a blended number hides which dimension moved and can come out flattering for every supplier at once. Each dimension is reported on its own.
- **It does not split any of these five into fixed and variable cost.** Our cost model is deliberately withheld for memory, and the reason is set out in section 05.
- **Where the filings will not carry an answer, it says so** rather than estimating one.

A note on what absence means. Where a figure is not shown for a supplier, that means it is not in the material we have read — not that the supplier does not report it. We never treat a gap in our own reading as a gap in a supplier's disclosure.

02 What NetApp has said it is trying to do

This section contains no analysis. It is NetApp's own stated strategy and its own capital position, quoted, because section 05 tests the supplier picture against these and not against anything we have assumed about what NetApp wants.

Multi-source where possible `Stated supply strategy`	"We rely on a limited number of suppliers for materials… **We strive to have multiple suppliers qualified to provide critical components where possible** and have our products manufactured in a number of locations to mitigate our supply chain risk. Our strategy has been to develop close relationships with our suppliers, maximizing the exchange of critical information…" `Form 10-K FY2026, Manufacturing and Supply Chain`
Stay asset-light `Stated manufacturing model`	"We use contract manufacturers for the production of major subassemblies and final system configuration. **This manufacturing strategy minimizes capital investments and overhead expenditures while creating flexibility for rapid expansion.**" `Form 10-K FY2026, Manufacturing and Supply Chain`
Protect gross margin `Named as a forward-looking objective`	"**our ability to maintain our gross margins, including managing component costs**" `Form 10-K FY2026, forward-looking statements`

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Run on short lead times Stated demand visibility	"Our business is characterized by seasonal and intra-quarter variability in demand, as well as **short lead times and product delivery schedules.** Accordingly, **backlog may vary materially quarter to quarter and at any given time may not be a meaningful indicator of future revenue.**" Form 10-K FY2026, Backlog
Return cash to shareholders Demonstrated use of capital	"On May 21, 2026 our Board of Directors authorized the repurchase of an additional **$1.0 billion** of our common stock." In fiscal 2026 NetApp used **$950 million** for share repurchases and **$413 million** for dividends, against **$198 million** of purchases of property and equipment. Form 10-K FY2026, Liquidity and Capital Resources

Two figures from the same filing set the price of capital for everything in section 05.

~3% Pre-tax return on cash: $113m of interest income on about $3.6bn of cash and short-term investments	**$1.0bn** Firm, non-cancelable, unconditional purchase commitments for inventory
$25m Liability recorded for commitments in excess of demand forecast — 2.5% of that $1.0bn	**2.9%** Capital expenditure as a share of revenue, which is what asset-light looks like

All five from the FY2026 Form 10-K. The return on cash is our arithmetic on two figures from it — interest income of $113m against the year-end cash and short-term investments balance of about $3.6bn — so it is approximate, and the true figure depends on the average balance through the year rather than the closing one. The $25m excess-commitment liability is quoted as reported at 24 April 2026.

03 What the five have in common, and where they part

All five came through a 2023 that was at or below break-even, and all five have now moved supply onto binding, multi-year, part-prepaid allocation. Three of the five are at the best gross margin in their own six-year record. But only one of the five has a capital programme behind it.

That last clause is the whole report. The five look alike from the outside and their cost cases are not alike at all, and the difference is visible in filed figures they published themselves.

SUPPLIER	LATEST FY	GROSS MARGIN	ITS OWN 6-YR LOW	ITS OWN 6-YR HIGH	OP MARGIN	I
Micron	2025	39.8%	-9.1% (2023)	45.2% (2022)	26.1%	1
SK Hynix	2025	60.4%	-1.6% (2023)	60.4% (2025)	48.6%	1
Samsung Electronics	2025	39.4%	30.3% (2023)	40.5% (2021)	13.1%	9
Kioxia	2025	43.3%	-12.0% (2023)	43.3% (2025)	37.2%	1
Seagate	2026	45.6%	18.3% (2023)	45.6% (2026)	33.6%	8

Latest filed fiscal year per supplier, set against that supplier's own six-year range. Gross margin, operating margin and reported as percentages, and inventory as days, so the Korean- and Japanese-reporting companies are comparable reporters with no exchange-rate assumption entering any figure. Inventory days are closing inventories over cost of r

- **The 2023 trough was severe and universal.** Micron's gross margin was -9.1%, Kioxia's -12.0%, SK Hynix's -1.6%, Samsung's 30.3% and Seagate's 18.3%. Every current reading is a recovery from that, not a step onto a new plateau. It explains why these companies are rebuilding margin rather than negotiating — and it also means none of them has demonstrated it can hold the level it is at.
- **Reinvestment is where they separate.** Micron at 42% of revenue and SK Hynix at 28% are spending heavily. Kioxia at 12% and Seagate at 4.7% are not, relative to each one's own history. A supplier whose margin is at a record while its own capital spending is near its own low has a weaker cost argument than one whose spending is at a record too, and section 03 gives each one its own six years so that comparison is made against the right baseline.
- **Two of the five have conceded demand damage from their own prices.** SK Hynix and Kioxia each said so independently, on dated calls, about PC and mobile. That is the most useful material in the report and it came from the suppliers.
- **Reading this as a direction of travel is deliberately not offered.** Each figure is a position in a range with the years named. We do not publish trend claims on supplier readings, because a trend requires reducing each period to one comparable number — which is the blended score this report does not produce.

04 The five, one at a time

Each profile holds that supplier's six filed years and that supplier's own words together. Figures are from filed statements; quotes are verbatim from the quarter named beside them; and the line marked as our reading is labelled as ours rather than presented as part of the quote.

Micron Technology

DRAM and NAND | Reports in USD

Strongest cost case of the five

Micron is the only one of the five **below its own peak gross margin while spending at a record**. It is also the only one whose price argument has a published capital programme behind it — and that programme is aimed at HBM and leading-edge DRAM, which is a different product from the parts an enterprise storage line consumes.

FY	REVENUE	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX	CAPEX % REV
2020	21,435	30.6%	14.0%	132	8,223	38%
2021	27,705	37.6%	22.7%	95	10,030	36%
2022	30,758	45.2%	31.5%	144	12,067	39%
2023	15,540	-9.1%	-37.0%	181	7,676	49%
2024	25,111	22.4%	5.2%	166	8,386	33%
2025	37,378	39.8%	26.1%	136	15,857	42%

Micron Technology, six filed fiscal years. Dollars in millions. Fiscal year ends in the preceding August or September.

WHAT ITS MANAGEMENT HAS SAID

> "We expect fiscal 2026 CapEx to be above $25,000,000,000... We project our fiscal 2027 CapEx to step up meaningfully to support HBM and DRAM-related investments. We expect construction-related CapEx to increase by over $10,000,000,000 year over year in fiscal 2027..."
>
> Micron Q2-26 earnings call

Against the $15,857m it actually spent in FY2025, the guided figure is a step up of roughly 60%. **This is a real cost argument, and it is the only one of the five that the filed record supports.** It is also explicitly directed at HBM and leading-edge DRAM.

> "Those LTAs had no binding terms in them. It was more of a handshake, kind of an understanding with customers about ensuring that there is good level of supply chain planning that we do..."
>
> Micron Q3-26 earnings call

Micron is drawing its own line between the agreements it used to sign and the supply commitment agreements it signs now. **What is offered at renewal is a different instrument, not a renewal of the same one.**

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> “These SCAs are meant to achieve the objectives for the customers in terms of their ability to plan and be able to count on supply commitments that are in the agreements, but also for us to be able to count on specific commitments that are there from the customers.”
>
> Micron Q2-26 earnings call
>
> The obligation runs both ways. **A volume commitment a buyer cannot hit becomes the buyer's exposure.**

> “With all of the efforts that we are doing, we still don't have line of sight as to when the supply is going to be able to meet demand, because demand continues to escalate at a very rapid pace over time.”
>
> Micron Q3-26 earnings call

WHERE THE ARGUMENT IS

Not on whether Micron's costs rose — they did, visibly and on the record. The argument is **which product the increase is priced for**. Separate the HBM and leading-edge programme Micron cites from the parts actually being bought, and ask it to show the cost in the line being quoted.

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SK Hynix

DRAM and NAND | Ratios only — reports in KRW

Said its own prices are hurting demand

The most profitable of the five by a wide margin: a **60.4% gross margin and a 48.6% operating margin**, both its own six-year highs, recovered from an operating loss of -23.6% two years earlier. Capital spending at 28% of revenue sits in the middle of its own range, not at the top of it.

FY	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX % REV
2020	33.9%	15.7%	106	34%
2021	44.1%	28.9%	136	29%
2022	35.0%	15.3%	197	43%
2023	-1.6%	-23.6%	148	25%
2024	48.1%	35.5%	141	24%
2025	60.4%	48.6%	136	28%

SK Hynix, six filed fiscal years. Reported in Korean won, so shown as ratios and days only — no exchange-rate assumption enters any figure here.

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WHAT ITS MANAGEMENT HAS SAID

> "In the PC and mobile markets, some signs of demand softening have emerged, including adjustments in such shipments and changes in product portfolios due to cost pressures stemming from higher memory prices."
>
> SK Hynix Q1-26

This is the most useful single sentence any of the five has said. **SK Hynix's own management has conceded that higher memory prices are destroying demand in two of its end markets.** The tight-supply account is not uniform across segments, and the supplier said it first.

> "To date, we have concluded LTA negotiations with around 10 customers, including our key customers… financial mechanisms such as deposits are incorporated to support contract fulfillment and enhance the visibility and reliability of customers' mid to long-term demand plans."
>
> SK Hynix Q2-26 earnings call

About ten customers are inside the structure and a cash deposit is part of it. **Whether you are one of the ten decides whether this is an allocation conversation or a pricing one.**

> “we are pulling forward the mass production schedule for M15X and proceeding with investments to rapidly expand production capacity following the clean room opening of the Yongin Phase 1 in early 2027.”
>
> SK Hynix Q2-26 earnings call

A dated capacity milestone, from the supplier. **Early 2027 is a date to put a reopener against, rather than accept a term priced on today's balance.**

> “As this supply demand imbalance persists, customers are prioritizing procurement over price… Therefore, the favorable pricing environment is expected to continue for the time being.”
>
> SK Hynix Q1-26

“Customers are prioritizing procurement over price” is a statement about buyer behavior, not about cost. Read next to the first quote in this profile, it describes a supplier that knows its prices are too high somewhere and expects to hold them anyway.

WHERE THE ARGUMENT IS

SK Hynix has the highest margins of the five and mid-range reinvestment, so a cost-driven increase is the hardest to sustain here. **Its own two statements sit against each other**: prices are softening demand in PC and mobile, and the pricing environment is expected to stay favorable. Ask which of the two applies to enterprise, and put the Yongin date in the contract.

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Samsung Electronics

DRAM and NAND | Ratios only — reports in KRW

Has quantified what is already committed

The one supplier that has **put a number on how much of its capacity is already spoken for**, which makes it the most useful of the five to ask structural questions of. Its margins are the mildest of the group — a 30.3% floor rather than a loss in 2023 — and group capital spending is at **14% of revenue, its lowest in the six years shown**.

FY	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX % REV
2020	39.0%	15.2%	81	16%
2021	40.5%	18.5%	91	17%
2022	37.1%	14.4%	100	16%
2023	30.3%	2.5%	104	22%
2024	38.0%	10.9%	101	17%
2025	39.4%	13.1%	95	14%

Samsung Electronics, six filed fiscal years. Reported in Korean won, so shown as ratios and days only. These are **group** figures covering businesses beyond memory, so the capital spending share is context rather than a reading of the memory division on its own.

WHAT ITS MANAGEMENT HAS SAID

> "DRAM and NAND supply volumes under multi-year supply contracts will easily account for 60%–70% of our planned capacity based on our current mid to long-term production plan."
>
> Samsung Electronics Q2-26 earnings call
>
> Samsung has quantified what is committed. **A buyer outside those contracts is negotiating over the remaining 30% to 40%, and that is the single most important number to hold before opening.**

> "To enhance the binding nature of multi-year supply commitments, we've included substantial advance payments as a contractual requirement to be maintained over the multi-year contract period. We've already received a significant portion of these payments…"
>
> Samsung Electronics Q2-26 earnings call
>
> Advance payment is stated as a requirement, not an option. **It is a working-capital cost and it belongs in the comparison whenever a prepaid allocation is set against a higher unit price without one.**

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> “despite industry-wide increases in CapEx, considering the lead time from new fab construction to actual wafer production, which exceeds three years, this means that any meaningful increase in supply capacity will take considerable time. We believe it will be unlikely to see any significant increase in incremental supply through 2028.”
>
> Samsung Electronics Q2-26 earnings call
>
> Samsung has dated its own view of when relief arrives. **It is a supplier's statement in a market where it benefits from being believed — but it is on the record, and it is the horizon any multi-year term should be judged against.**

> “In 2026, we anticipate a substantial year-on-year increase in CapEx driven by sustained demand related to AI. We'll further expand preemptive R&D investments in next generation processes and core technologies…”
>
> Samsung Electronics Q1-26 earnings call
>
> The guided increase is attributed to **AI-related demand and next-generation process work**, not to broad commodity capacity. That is the same distinction as in the Micron profile, and it is the distinction to insist on.

WHERE THE ARGUMENT IS

Samsung is the most useful of the five to ask structural questions of, because it has published the structure: 60–70% committed, prepayment required, no supply relief before 2028. **Those three statements define the shape of any deal on offer**, and the last one is a forecast from an interested party rather than a filed fact. Price the prepayment, and get the 2028 claim written as a condition rather than accepted as context.

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Kioxia Holdings

NAND | Ratios only — reports in JPY

Least committed, weakest cost case

The sharpest contrast in the report. Kioxia is at its **best gross margin in six years, 43.3%, with capital spending at 12% of revenue — against its own 40% in fiscal 2022**. It is also the least locked-up of the five by its own account, which makes it the one where volume is most available and terms least settled.

FY	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX % REV
2020	14.5%	0.6%	93	22%
2021	25.3%	14.2%	97	26%
2022	3.3%	-7.7%	107	40%
2023	-12.0%	-23.5%	82	28%
2024	33.4%	26.5%	113	13%
2025	43.3%	37.2%	114	12%

Kioxia Holdings, six filed fiscal years. Reported in Japanese yen, so shown as ratios and days only.

WHAT ITS MANAGEMENT HAS SAID

> "we plan to spend an average of JPY 470 billion annually on capital expenditures from FY 2026 to FY 2028."
>
> Kioxia Q1-26 earnings call
>
> Set this against the table above. **Kioxia's record margin is the one least accompanied by a step-up in its own spending, which makes a cost-driven increase from Kioxia the one most worth asking it to itemise.**

> "we will have a long-term agreement that we will be signing in calendar year 2028. Most, we would say 50% of our shipment will be covered by LTA if things go well. This is what we are trying to aim for."
>
> Kioxia Q1-26 earnings call
>
> Where Samsung is already at 60–70% committed, Kioxia is **aiming** at 50% by 2028. **Of the five, this is where uncommitted volume actually exists.**

> "The PC market is expected to see a decrease in shipments due to rising BOM costs, leading to a slight decline in NAND demand compared to calendar year 2025."
>
> Kioxia Q1-26 earnings call
>
> The same concession SK Hynix made, from a second supplier independently. **Two of the five have said on the record that their own price increases are reducing demand somewhere.**

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> "The biggest driver should be ASP up continuously from the first quarter. It is expected that ASP will continuously grow."
>
> Kioxia Q1-26 earnings call

> "We have agreed with Sandisk to extend the contract period of the joint venture (JV) at the Yokkaichi Plant by five years, from the end of 2029 to the end of 2034."
>
> Kioxia Q3 and Q4-25 earnings presentation
>
> Its largest manufacturing base is secured to 2034. **Continuity risk is not the concern with Kioxia; price discipline is.**

WHERE THE ARGUMENT IS

Kioxia carries the weakest cost case and the most available volume at the same time. **Record margin, capital spending near its own low, inventory near its own high, and half its shipments still uncommitted on its own 2028 target.** If any of the five is worth approaching for incremental volume on open terms, the filed record says it is this one.

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Seagate Technology

Nearline hard drives | Reports in USD

Says it prices on value, not cost

The most dramatic recovery of the five and the clearest statement of scarcity. **Gross margin 45.6% against a prior six-year high of 29.7%**, operating margin 33.6% against a prior high of 16.8% — achieved on capital spending of 4.7% of revenue, inside the 2.9% to 5.6% band it has run throughout. And it has told investors in plain terms that its pricing is not cost-based.

FY	REVENUE	GROSS MARGIN	OP MARGIN	INV DAYS	CAPEX	CAPEX % REV
2020	10,509	27.0%	12.4%	54	585	5.6%
2021	10,681	27.3%	14.0%	57	498	4.7%
2022	11,661	29.7%	16.8%	70	381	3.3%
2023	7,384	18.3%	-4.6%	69	316	4.3%
2024	6,551	23.4%	6.9%	90	254	3.9%
2025	9,097	35.2%	20.8%	89	265	2.9%
2026	12,195	45.6%	33.6%	86	569	4.7%

Seagate Technology, seven filed fiscal years — its fiscal 2026 is already filed. Dollars in millions. Fiscal year ends in June.

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WHAT ITS MANAGEMENT HAS SAID

> "Our value-based pricing approach enables customers to plan with confidence while contributing to sustained profit growth for Seagate…"
>
> Seagate Q3-26 earnings call

Seagate has described its own pricing as value-based rather than cost-plus. **A cost pass-through argument from Seagate is inconsistent with the way Seagate tells its own investors it prices** — and the table shows a record margin on capital spending inside its normal band. Of the five, this is the weakest cost-based case.

> "the vast majority of our nearline exabytes are now allocated into calendar 2028. Importantly, we are not seeing customers pull back on planning horizons. As our strategic relationships deepen, many are actively seeking to extend planning horizons through 2029 and beyond"
>
> Seagate Q4-26 earnings call

One quarter earlier Seagate described nearline as "almost fully allocated through calendar 2027". **The horizon it describes moved out by a full year between two consecutive calls — the strongest scarcity statement in this report.**

> "We remain disciplined in securing orders from these customers prior to initiating drive production, with contracts that define both product configuration and pricing terms, covering the entirety of calendar 2027."
>
> Seagate Q4-26 earnings call
>
> Seagate does not build before it has the order and the price. **Calendar 2027 volume is priced in contracts that already exist, so the live negotiation is 2028 and beyond.**

> "We believe these actions will enable us to deliver nearline exabyte growth in the mid-20% range over the next few years."
>
> Seagate Q4-26 earnings call
>
> Output growth is guided at the same time as near-full allocation, which means **the incremental exabytes are most likely to go to customers who already hold an agreement.**

WHERE THE ARGUMENT IS

Scarcity here is real and the cost case is the weakest of the five. So **do not argue cost with Seagate — it has said it does not price on cost.** Argue on what a committed multi-year planning horizon is worth to a supplier that has told investors it values exactly that, and accept that the window being negotiated is 2028 onward.

05 Where the stated strategy and the available terms conflict

This is the part neither filing contains. Section 02 is what NetApp has said it wants. Sections 03 and 04 are what its five suppliers have said they will offer. Read together, they do not agree in five places.

Each conflict below puts the two statements side by side and names the gap. Under them is a **viable path**, which is **our judgment and not a finding** — a recommendation does not trace back to a quoted sentence the way a figure does, so every path shows the step it was derived from and can be disagreed with on the merits. Two of the five end in a question we cannot answer from public data, and those say so rather than guessing.

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NETAPP HAS SAID	ITS SUPPLIERS HAVE SAID	THE GAP
"multiple suppliers qualified… where possible"	Samsung: 60–70% of capacity committed, prepayment required. SK Hynix: ~10 LTA customers, deposits. Micron: binding SCAs.	A second source now costs a deposit too, so multi-sourcing has a price it did not have before
"minimizes capital investments" — capex 2.9% of revenue	Advance payments are "a contractual requirement to be maintained over the multi-year contract period"	Prepaid allocation is capital in all but name
"short lead times… backlog… may not be a meaningful indicator of future revenue"	Seagate allocated into calendar 2028 and seeking 2029+. Samsung: no significant incremental supply through 2028.	Asked to commit volume two to three years out on roughly a quarter of demand visibility
$1.0bn non-cancelable inventory commitments, $25m provided against excess	SK Hynix and Kioxia each report their own prices softening demand in PC and mobile	Two suppliers have described the demand risk the provision is meant to cover
$1.363bn returned to shareholders in FY2026, $1.0bn more authorized May 2026	Prepayment is a precondition of allocation at Samsung and SK Hynix	Both claims land on the same cash

The five conflicts in one view. Every cell on both sides is quoted or calculated in section 02 or section 04.

1. Multi-sourcing is still possible, but it is no longer free

NETAPP

"We strive to have multiple suppliers qualified to provide critical components where possible… to mitigate our supply chain risk."

Form 10-K FY2026

SAMSUNG ELECTRONICS

"we are negotiating the contractual terms, giving priority to customers willing to accept mutually binding contractual conditions and who can provide assurance about committed demand."

Q2-26 earnings call

> Qualifying a second supplier used to cost engineering time. Now each qualified supplier also wants binding volume and, at Samsung and SK Hynix, cash. **Two qualified sources means two sets of commitments covering demand that will only be filled once.**

A VIABLE PATH — OUR JUDGMENT

Keep the multi-source objective but move it from **two suppliers per component** to **one committed source plus one qualified and uncommitted source per technology**. Carry the commitment where the price of commitment is lowest, and hold the uncommitted leg wherever a supplier still has open volume.

On the filed record, **the uncommitted leg in NAND is Kioxia.** It is targeting only 50% of shipments under long-term agreement by 2028, where Samsung is already at 60–70% of capacity committed. It is also the supplier with the weakest cost case in section 04 — a record 43.3% gross margin on capital spending of 12% of revenue against its own 40% in fiscal 2022.

Derived from: NetApp's stated multi-source objective, plus Kioxia's own 50%-by-2028 target and Samsung's own 60–70% figure, plus the capital-spending comparison in Kioxia's profile. **What we do not know:** whether Kioxia is qualified on the parts in question, or can be. That is an engineering answer, not a filings one.

ASK THE COMMITTED SUPPLIER

If you are asking for binding volume and a deposit, you are asking us to stop dual-sourcing this part. Price that. What does the single-source version cost against the dual-source version, on the same volume?

2. Whether to prepay is arithmetic, not a judgment call

NETAPP

"This manufacturing strategy minimizes capital investments and overhead expenditures while creating flexibility for rapid expansion." Interest income of $113m on about $3.6bn of cash and short-term investments.

Form 10-K FY2026

SAMSUNG ELECTRONICS

"we've included substantial advance payments as a contractual requirement to be maintained over the multi-year contract period. We've already received a significant portion of these payments…"

Q2-26 earnings call

> An advance payment held for the life of a multi-year contract is capital tied up in a supplier's balance sheet. **That is the opposite of the asset-light model NetApp has described to its investors** — and unlike a fab, it buys no asset.

A VIABLE PATH — OUR JUDGMENT

Stop treating this as a strategic question and price it. **NetApp earns about 3% pre-tax on its cash.** So a prepayment is worth making only if the discount it secures, or the price increase it avoids, exceeds roughly 3% a year over the period the cash is held — before any allowance for the risk that the committed volume is not needed.

That single test converts "should we prepay for allocation?" into a number a supplier can be asked to beat. **Below the threshold, the asset-light objective and the economics agree and the answer is no.** Above it, prepaying is consistent with protecting gross margin, which section 02 shows NetApp names as an objective in its own right.

Derived from: two figures in NetApp's own filing — interest income of $113m and the $3.6bn cash and short-term investments balance — set against Samsung's stated prepayment requirement. **Where it is approximate:** the yield uses the closing balance, not the average through the year, and a company may reasonably use its weighted cost of capital instead of its cash yield, which would raise the threshold rather than lower it.

ASK

Price the same volume two ways — with the advance payment and without it. We will compare them on total cost including our own cost of that cash, and we will tell you the threshold the discount has to clear.

3. The commitment horizon is longer than the demand visibility

NETAPP

"Our business is characterized by… short lead times and product delivery schedules. Accordingly, backlog may vary materially quarter to quarter and at any given time may not be a meaningful indicator of future revenue."

Form 10-K FY2026, Backlog

SEAGATE

"the vast majority of our nearline exabytes are now allocated into calendar 2028… many are actively seeking to extend planning horizons through 2029 and beyond"

Q4-26 earnings call

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This is the structural conflict and it is the one worth taking to a board. **NetApp has told the market its own order book is not a meaningful indicator of future revenue, and its suppliers are asking it to commit quantities two and three years out.** Nothing in NetApp's filing supports a demand forecast of that length.

A VIABLE PATH — OUR JUDGMENT

Commit to **capacity** rather than to **quantity**. Pay to reserve a defined share of a supplier's output over the term, with the quantity drawn against it set quarterly inside a band. The supplier gets the planning visibility it says it is buying; NetApp does not sign a number it has told its own investors it cannot forecast.

The suppliers' own words suggest visibility, not volume, is what they are after. Micron says its agreements exist so that both sides "can count on" what is in them, and Samsung asks for "assurance about committed demand". **A reserved share with a quarterly draw provides that assurance. Whether any of the five will write it that way, we do not know** — nothing in their public statements says they have.

Derived from: NetApp's own backlog disclosure set against Seagate's 2028 allocation horizon and Samsung's through-2028 statement, plus Micron's and Samsung's descriptions of what their agreements are for. **What we do not know:** whether a share-of-output structure is on offer from any of them. Treat this as the position to open from, not a term we have seen agreed.

ASK

We cannot forecast quantity three years out and our own filings say so. We can commit to a share of your output across the term. Will you price a reserved share with a quarterly draw inside an agreed band, instead of a fixed quantity?

4. Two suppliers have described the risk the $25m provision is covering

NETAPP

"we had **$1.0 billion** in non-cancelable purchase commitments for inventory… We record a liability for firm, non-cancelable and unconditional purchase commitments for quantities in excess of our future demand forecasts… such liability amounted to **$25 million**."

Form 10-K FY2026, Commitments and Contingencies

SK HYNIX · KIOXIA

"demand softening have emerged… due to cost pressures stemming from higher memory prices." — "The PC market is expected to see a decrease in shipments due to rising BOM costs, leading to a slight decline in NAND demand…"

SK Hynix Q1-26 · Kioxia Q1-26

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The provision is **2.5% of the non-cancelable book**, and it is set against NetApp's own demand forecast. Two of its suppliers have independently said on the record that the current price level is reducing end demand in their own markets. **Those two facts belong in the same conversation and they are currently in two different documents.**

A VIABLE PATH — OUR JUDGMENT, AND THE LIMIT OF IT

The useful question is not whether $25m is enough. It is **at what level of demand decline the provision stops being enough**, and then whether the non-cancelable book should be shorter rather than better provided for.

We cannot answer that and will not estimate it. It needs NetApp's own demand forecast and the maturity profile of the $1.0bn, neither of which is public — the filing gives the total and the FY2027 split, not the detail. What the public record does establish is that the risk is not hypothetical, because two of the five suppliers have named it themselves.

Derived from: the $1.0bn and $25m figures as reported, plus the SK Hynix and Kioxia demand statements. **What would answer it:** the commitment maturity schedule and the demand forecast

the provision is calculated against. That is an internal exercise, and it is the right one to run before the next commitment is signed rather than after.

ASK INTERNALLY, NOT OF THE SUPPLIER

At what decline in product demand does the excess-commitment liability need to double? Run it against the maturity profile of the $1.0bn, not against the annual total.

5. Prepayment and the buyback are claims on the same cash

NETAPP

$950m of share repurchases and $413m of dividends in fiscal 2026, against $198m of property and equipment. “On May 21, 2026 our Board of Directors authorized the repurchase of an additional $1.0 billion of our common stock.”

Form 10-K FY2026, Liquidity and Capital Resources

SK HYNIX

“financial mechanisms such as deposits are incorporated to support contract fulfillment and enhance the visibility and reliability of customers' mid to long-term demand plans.”

Q2-26 earnings call

NetApp returned **$1.363bn** to shareholders in fiscal 2026 and authorized **$1.0bn** more in May 2026, against **$3.6bn** of cash and short-term investments. **A supplier deposit of any size competes with a commitment the board has already made.** That makes allocation prepayment a capital allocation decision, not a procurement one.

A VIABLE PATH — OUR JUDGMENT, AND THE LIMIT OF IT

Take the prepayment to whoever owns the buyback, with the threshold from conflict 2 attached, and **decide it once as a capital question with a ceiling** rather than deal by deal in a negotiation. A procurement team asked to agree a deposit under allocation pressure is not the right place for that decision to be made by default.

Which use of the cash is worth more, we cannot say. Comparing a prepayment discount against a share repurchase requires a view on NetApp's own share price, and that is not a question public filings answer or one we would offer a number on.

Derived from: the fiscal 2026 capital returns and the May 2026 authorization as reported, plus SK Hynix's and Samsung's stated deposit and prepayment requirements. **What we are not doing:** recommending one use of capital over the other. The finding is that they are the same pool and are currently being decided in two different rooms.

ASK INTERNALLY

What is the ceiling on supplier prepayment for the year, who approves it, and does it come out of the buyback envelope or sit beside it?

Three of these five have a path we would act on. **Two end in a question that needs NetApp's own data, and we have said so rather than filling the gap.**

That is deliberate. A supplier picture built from public filings can tell you what to ask for and what a claim is worth. It cannot tell you what your own demand forecast will bear, and a report that pretends otherwise is worth less than one that marks the line.

06 What we are withholding, and why

Our cost model splits a supplier's cost base into a fixed part and a part that moves with revenue, and reports what a volume change does to it. **We do not run it for any of these five, and that is a deliberate exclusion rather than a gap.**

The reason is in the Micron table in section 03. For a memory or drive supplier, revenue is price multiplied by volume, and the two move independently — Micron's revenue went $30.8bn, then $15.5bn, then $37.4bn in three years, with gross margin between -9.1% and 45.2%. A revenue change cannot stand in for a volume change in that data, so a model built on revenue would return a fixed-cost share that reads precisely and means nothing.

Their **filed figures** are a different matter and are used freely throughout this report. A fact and an inference get different treatment. A model that declines to answer where the data will not carry a number is worth more than one that fills the gap.

The same rule explains two other absences. There is **no price forecast** anywhere in this report, and **no single score** per supplier — a blended rating hides which dimension moved, and one we built came out flattering for every supplier at once because it was measuring how confidently management speaks rather than the business.

What this report cannot answer, and what would answer it

Public filings establish what a supplier's position is and what its claims are worth. They do not reach inside the buyer. These four questions came up in section 05 and are marked there as unanswered:

QUESTION	WHAT WOULD ANSWER IT
At what demand decline does the $25m excess-commitment liability stop being enough?	The maturity profile of the $1.0bn non-cancelable book, and the demand forecast the provision is calculated against
Can Kioxia be the uncommitted source on the parts in question?	Current qualification status by part — an engineering answer, not a filings one
Is a prepayment better than the authorized buyback?	A view on NetApp's own share price, which is not a question we would put a number on
Is the increase on a specific letter supported by that supplier's cost position?	The letter. We check it against six filed years for that supplier and its own statements in the quarter it cites

Every one of these is answerable, but not from public data. Three of the four need one internal input each.

The last of those is the one worth sending us. It is a single document and the answer is checkable.

07 How to check every figure

Nothing here is proprietary data. It is public disclosure, read carefully and assembled from the buyer's side. Every number can be traced back.

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PART	SOURCE
Supplier annual figures	Six filed fiscal years each for Micron, SK Hynix, Samsung Electronics and Kioxia, and seven for Seagate, whose fiscal 2026 is already filed. Revenue, gross profit, operating income, inventories, cost of revenue and capital expenditure, as filed.
Supplier quotes	Earnings calls and earnings presentations for the quarters named beside each quote. Each quote was verified against its source document before it was stored, and a quote that failed verification is not shown.
Derived figures	Inventory days are closing inventories over cost of revenue, annualised. Capital expenditure share is capital expenditure over revenue. Gross and operating margin are over revenue. Each is stated where it is used.
Currency	Micron and Seagate report in US dollars and are shown in dollars. SK Hynix, Samsung and Kioxia report in won and yen and are shown **only** as ratios and days, so no exchange-rate assumption enters any figure in this report.
NetApp's objectives, capital position and commitments	NetApp, Inc. Form 10-K for the fiscal year ended 24 April 2026, filed with the SEC on 5 June 2026. CIK 0001002047, accession 0001193125-26-259683. Sections quoted: Manufacturing and Supply Chain, Backlog, forward-looking statements, Liquidity and Capital Resources, and Note 16 Commitments and Contingencies.
The conflicts in section 05	Not from any single source — each is one quoted NetApp statement set against one quoted supplier statement, both cited in place. The **paths** under them are our judgment, not findings, and each shows what it was derived from and where it stops.

Where each part of this report comes from. Percentages and days are our arithmetic on filed statements, and the formula is given wherever a derived figure appears.

One disclosure about our own coverage. The quotes in section 03 come from our reading of earnings calls and presentations for the quarters named. That reading is not a complete transcript archive for all five suppliers, so the absence of a quote on a given topic means we have not recorded one — never that the supplier has not addressed it. Where this report asserts something, a verified quote or a filed figure supports it.

Semitrical · supplier picture · prepared for NetApp, Inc. · evidence to 6 November 2026 · contact@semitrical.ai

Built from public filings. First-pass analysis to support your own review — not legal, investment or professional advice. NetApp, Micron, SK Hynix, Samsung Electronics, Kioxia and Seagate are named here as the subjects of public disclosure; no relationship with or endorsement by any of them is implied.